

2026 AGM

Report of the GMBCU Treasurer for 2025

Introduction

David Castledine is our Treasurer and a GMBCU Director. David is also the Regional Finance Officer for GMB Midlands Region and has played a leading role in the governance and development of GMBCU over the last twenty six years.

The Treasurer's report will be made available to GMBCU members registering for the 2026 AGM which will be conducted online on Saturday 18th April 2026. David will also take part in a member Q&A session during the AGM.

The Treasurer's report acknowledges the considerable input from GMBCU staff and the Board. Thanks are due to our external auditors KM Business Solutions Ltd who have produced our Annual Report and Audited Financial Statement for the year ending 31 December 2025.

2025 - A difficult trading year

Every year seems to bring new headlines about a deteriorating political and economic climate, and 2025 was no different.

TransUnion, the leading UK credit reference agency, described the 2025 outlook as a delicate rebound. However, TransUnion data also revealed that three in five UK consumers (60%) were pessimistic about their household finances.

Inflation and interest rates remain among the top consumer financial concerns, and there is a growing UK divide in optimism between the haves and have-nots, with 65% of low-income households (less than £30,000 a year) expressing concern about their financial future.

GMBCU's approach to this difficult trading environment was to operate effectively and prudently, helping our members to save regularly and build their financial resilience. We were also there to provide our members with loans which meant they could borrow responsibly and repay affordably.

GMBCU lending and savings increased as members enjoyed higher dividend rates on our enhanced range of savings accounts such as our 365 Saver.

GMBCU Performance to 31 December 2025

The Board's three year business plan aims to anticipate many of the challenges that confronted us in 2025. The combination of forward planning, strong balance sheet and a prudent approach has enabled GMBCU to successfully navigate another challenging year.

The following headlines from the year to the 31 December 2025 indicate a strong performance which was in line with our budget.

GMBCU Member Loans

Our loan book grew steadily during 2025 with the number of member loans agreed for the year being 3,279 which was a 20% increase on 2024. The value of new member loan applications for 2025 totalled £4.94 mill which was a 28.2% increase on 2024.

Our loan rejection rate increased slightly to 43.13% in 2025 compared to 42.72% for 2024 and loan income for 2025 increased to £1.31 mill which was a 1.69% increase on 2024.

GMBCU Member Savings

Total member savings increased to £12.46 mill which was an 8.25 % increased on 2024 this was in part due to the very successful launch of our second issue of our 365 Saver which raised £920,000.

Interestingly the number of member savings withdrawals for 2025 was 23,935 which was a 28.8% increase on 2024 which totalled 18,576. Possibly another indicator of members coping with the rising cost of living and giving weight to our objective of encouraging the savings habit amongst GMB members.

GMBCU Member Base

GMBCU recruited 1,300 new members in 2025, a 54% increase from 2024. Our total membership stands at 12,260.

GMBCU Financial

Our capital (reserves) grew to £2,55 mill, and our capital to asset ratio was 18.5% with our regulatory requirement being 10%. Our liquidity ratio was 27.7%, our regulatory requirement is 10%.

GMBCU Future Focus

Moving forward we are focusing on improving service by stabilising and optimising key services to members. We will also aim to deepen our relationship with members and stakeholders to grow our savings and loans accounts.

Good progress on the above was made during 2025 when we successfully restructured our supplier base in important areas such as transmissions and loan decisioning, enabling us to increase the level of automation in our back office administration, whilst lowering operating costs.

Financial anxiety is significantly impacting the daily lives and well-being of millions of people across the UK, according to new research from financial education charity Money Ready. The survey also highlighted that financial illiteracy was at the centre of this problem.

In 2026, GMBCU will continue to support GMB members by offering fast, fair and flexible loans and a simple, competitive range of savings accounts to encourage members to adopt the savings habit. In addition, we will continue to develop and promote our financial resources area to equip members with the tools and know-how to make informed decisions with their money.

During 2026, we will review our governance structure and continue to implement an effective staff succession plan. During 2025, we welcomed two new members of staff who are already making a big impact on our wonderful GMBCU team. It is not easy to introduce process change to a business, and I thank our staff and volunteers for their hard work and commitment.

We anticipate that trading will continue to be difficult over the next few years; however, we are confident that GMBCU will continue to adapt to the challenges and opportunities presented.

As a GMBCU Treasurer and Director, I am pleased to present my report and the audited financial statement for 2025. This has been another very challenging year of hard work and change, and we are proud to have supported our GMB community whilst delivering another strong trading performance, as you can see from the following graphs.

David Castledine

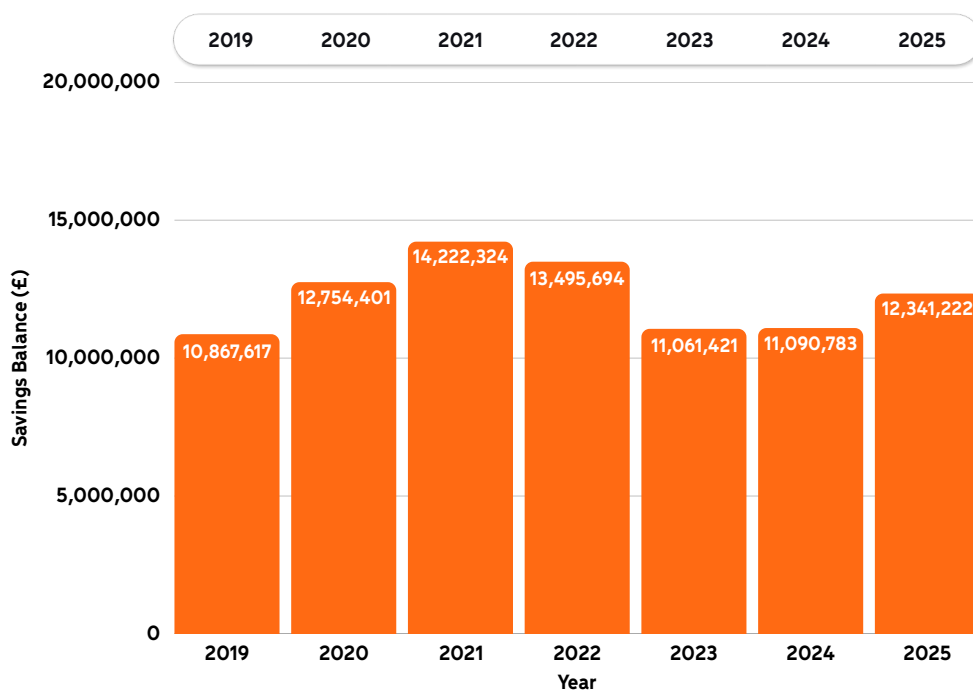
Treasurer & Board Director

11 March 2026

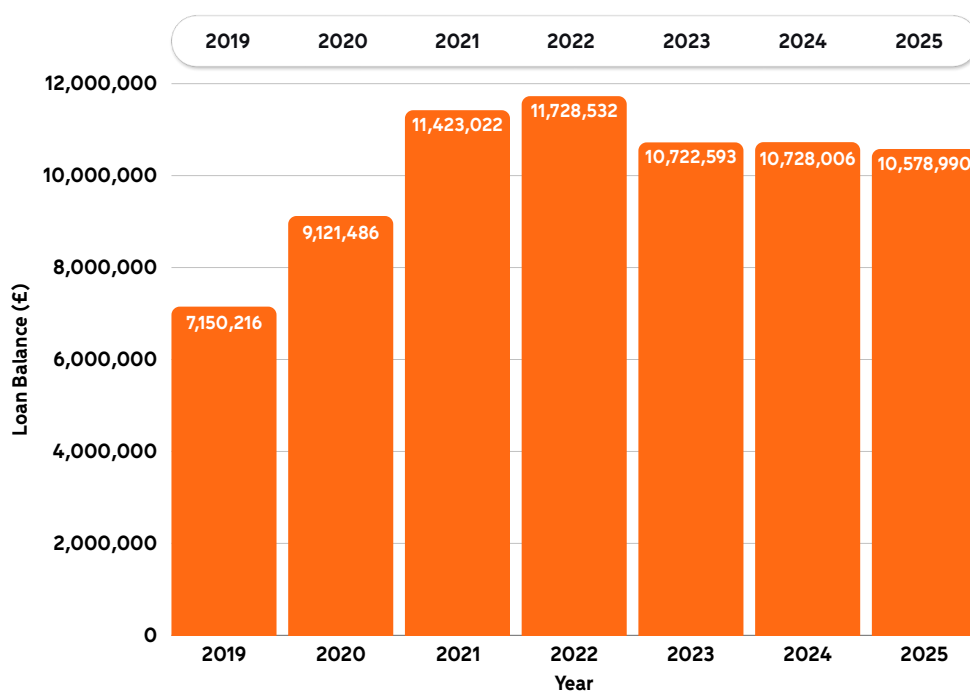
GMBCU Performance Graphs

Appendix One

GMBCU Total Savings Balance



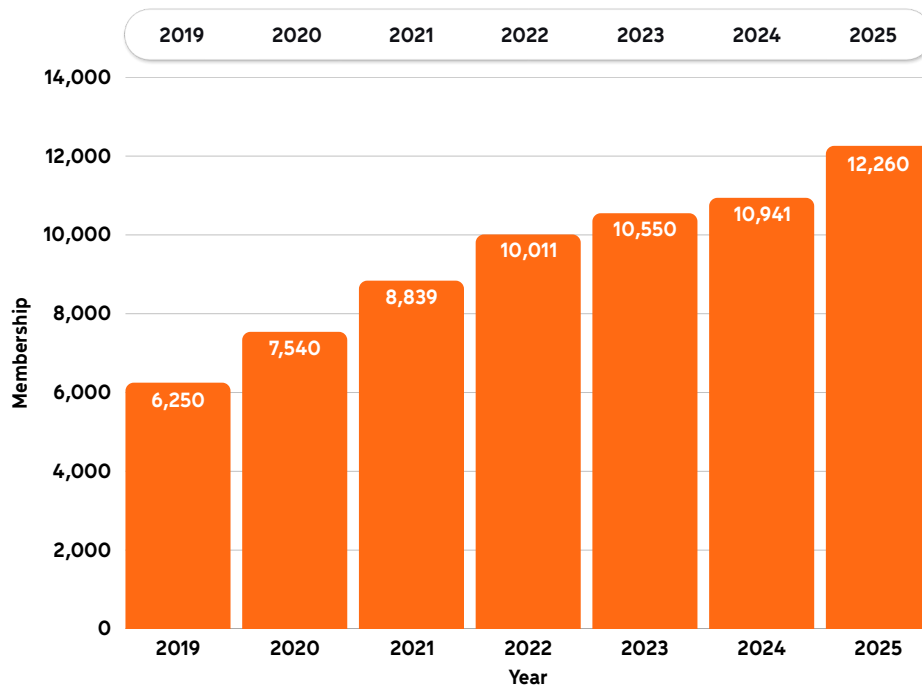
GMBCU Total Loan Balances



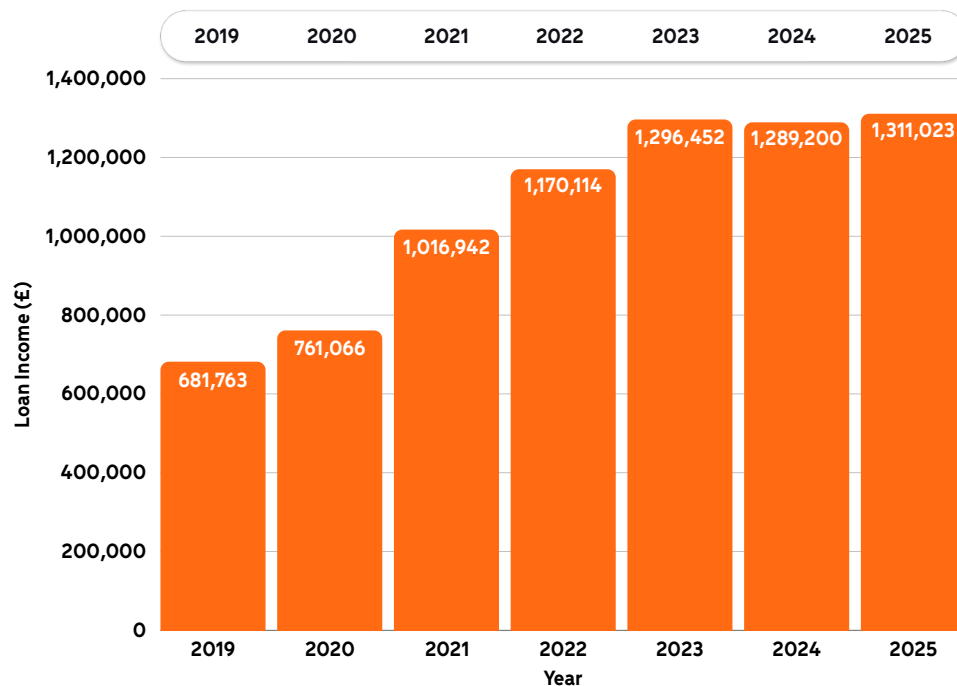
GMBCU Performance Graphs

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GMBCU Total Membership



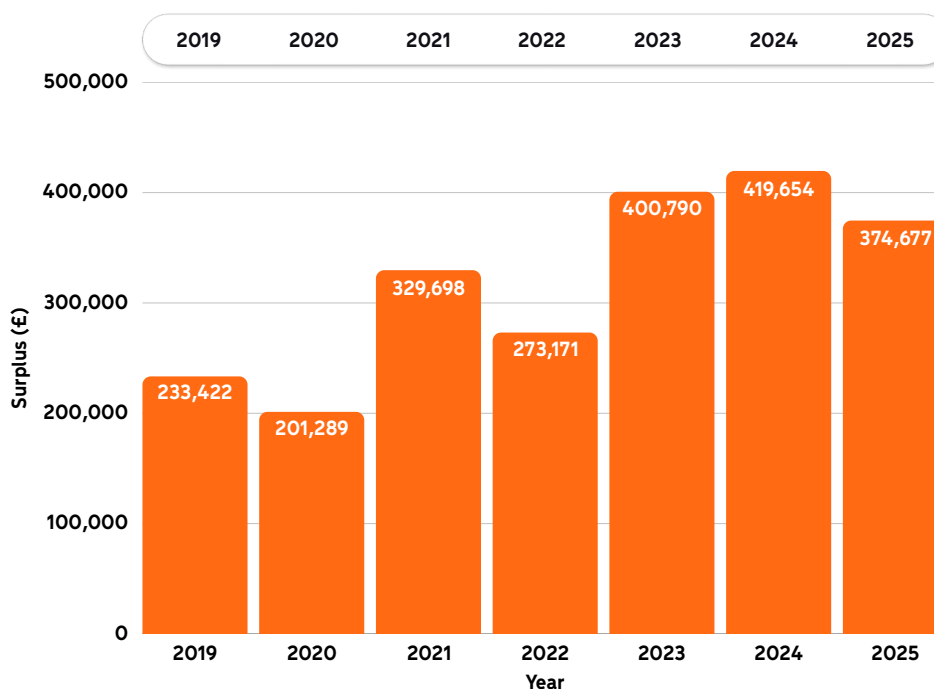
GMBCU Total Loan Income



GMBCU Performance Graphs

Appendix One

GMBCU Total Surplus



GMBCU Total Reserves

